

Alpha Financial Markets Consulting UK Limited

Annual report and financial statements

Registered number 04710715

31 March 2023

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Company information

Directors	JC Paton S McNulty GA Cook (appointed 30 June 2022) S Peacock (appointed 30 June 2022) ENB Fraser (resigned 31 March 2023)
Company number	04710715
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS
Bankers	Lloyds Bank plc 25 Gresham Street London EC2V 7HN HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Strategic report

Business review

For the year ended 31 March 2023 (FY 23¹), the Company recorded revenue of £75,178,000 (FY 22: £61,462,000), as a result of continued strong demand in the Company's established offerings, Operations, Investments and Client & Digital and further progress in the Company's newer offerings, such as Insurance Consulting and Enterprise Transformation. Gross profit also increased to £29,602,000 (FY 22: £26,355,000), reflecting utilisation returned to target levels and further rates progress ongoing. Profit after tax also grew to £14,687,000 (FY 22: £10,778,000) as improved gross profits are partially offset by increased recruitment costs, as well as discretionary spend returning closer to pre COVID-19 levels. The Company's team of consultants increased in the year, closing at 252 at the year end (FY 22: 195), reflecting the Company's continued investment in its consultants, while maintaining competitive remuneration packages. Trade receivables increased slightly to £7,831,000 compared to £7,117,000 in FY 22, due to continued strong cash collection offset by the impact of increased revenue in the year partially offset by continued strong cash collection. Cash and cash equivalents reduced to £2,735,000 (FY 22: £6,204,000), while net current assets decreased to £3,236,000 (FY 22: £4,842,000). There are no concerns about the recoverability of receivables. During the year, an ordinary dividend payment totalling £11,000,000 was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited (FY 22: £23,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders.

Key performance indicators

The Directors monitor performance on a monthly basis using a range of financial and non-financial metrics. Working capital management is a key indicator which is reviewed on a frequent basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group² undertaking and compare actual performance against budget. Costs, utilisation, and fee rates are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company is subject to only limited risk in the short and medium term as the future pipeline of work is strong. The Company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management is mindful of the current macro uncertainty and recessionary environment, which include a lengthening sales cycle and higher levels of competition. Management continues to monitor the market and operate conservative cash management policies.

Future developments

Although the Company is facing continuing macro-economic uncertainty and some increased competition in the consulting market, the structural drivers that underpin growth and demand for the Company's services over the medium to long term remain strong. This, together with the Company's market-leading consulting talent and the growing number of client relationships, means the Company remains confident of further progress.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequence of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under section 414CZA of the Companies Act 2006.

The Directors remain committed to engaging with all of the Company's stakeholders and considering their interests when making any strategic decisions.

¹ FY 23 is the financial year covering the 12 months to 31 March 2023. By comparison, FY 22 is the previous financial year covering the 12 months to 31 March 2022; FY 24 is the subsequent financial year covering the 12 months to 31 March 2024.

² Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc, and its subsidiaries.

Strategic report (continued)

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, clients and the communities in which the Company operates. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with which Alpha works or associates in the marketplace. Engaging effectively with these stakeholders strengthens the Company's business relationships and decision making and therefore supports its long-term success.

Employees

Attracting, retaining and developing the best talent is essential to the Company's business success. The Company is committed to providing a highly rewarding place to work, and to maintaining a strong, meritocratic and inclusive culture that recognises the importance of our people and encourages open communication. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture. An inclusive environment for all employees is encouraged through the prevalence of the Company's Diversity & Inclusion programme, and employees are incentivised to engage further with the wider objectives of the business through a generous profit share scheme, and a share incentive plan available to senior management.

Clients

The Company's success is based on delivering a proposition that helps its clients address their challenges and capitalise on their opportunities. The Company works hard at developing and sustaining long-term client relationships, which it supports through its global team of consultants and by extending the range of services it offers and the types of projects it carries out.

Communities

Alpha is a growing, profitable business, committed to fostering the same growth and success within the communities in which it operates, which includes supporting organisations that are relevant to or active in those communities. As part of this engagement, the Company also considers how to maximise our corporate responsibility and the positive environmental and social impacts of its activities, and to minimise the downsides, which will give us a solid baseline for developing relevant action plans and targets.

Please refer to pp. 30-33 of the Annual Report & Accounts 2023 of the ultimate parent company, Alpha Financial Markets Consulting plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

Key Board decisions during the year

The Directors consider the following to be the key decisions and considerations they have made in the year to 31 March 2023:

Decision	Considerations
Issued the FY 22 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
The Board approved the appointment of two additional Directors.	To ensure the composition of the Board enables the ongoing effective management and oversight of the Company.
The Board agreed the FY 23 interim dividend payable to the Company's parent, Alpha Financial Markets Consulting Group Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting plc.
The Board considered the Company's strategic priorities at a dedicated strategy session.	To ensure the ongoing review of the Company's strategy and progress against strategic goals.

Strategic report (continued)

Key Board decisions during the year (continued)

Decision	Considerations
The Board reviewed the results of the employee engagement survey and initiatives carried out by the HR team to implement positive changes to ensure the ongoing engagement of the Company's employees.	To understand the feedback provided by employees, to take appropriate actions and to ensure the ongoing engagement of the Company's employees in respect of implementing positive changes. When reviewing the actions to be implemented, the Board considered the financial consequences and the impact on long-term value and growth.

By order of the Board.



Greg A Cook
Director

8 November 2023

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2023.

Principal activities

The principal activities of the Company continued to be the provision of consulting and related services to clients in the asset management, wealth management and insurance industries.

Results and dividend

The results for the year are set out in the Strategic Report on p. 2 and in the profit and loss account on p. 13. The Directors consider the current state of affairs of the Company to be satisfactory. During the year, an ordinary dividend payment totalling £11,000,000 was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited (FY 22: £23,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders.

The Directors have not recommended the payment of a final dividend (FY 22: £nil).

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton

S McNulty

GA Cook (appointed 30 June 2022)

S Peacock (appointed 30 June 2022)

ENB Fraser (resigned 31 March 2023)

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 22: £nil).

Employee involvement

Details of how the Company and its subsidiaries engage with employees are set out in the Section 172 statement in the strategic report on p. 2.

Alpha is a Disability Confident Employer. It is Alpha's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. Alpha aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on Alpha's website in the Group's Annual Report & Accounts 2023 on pp. 40-41.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware, and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

Directors' report (continued)

By order of the Board.

A handwritten signature in black ink, appearing to read 'Greg Cook', written in a cursive style.

Greg A Cook
Director

60 Gresham Street
London
EC2V 7BB

8 November 2023

Statement of Directors' responsibilities in respect of the strategic report, the Directors' report and the financial statements

The Directors are responsible for preparing the strategic report and the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting UK Limited ("the Company") for the year ended 31 March 2023 which comprise the balance sheet, profit and loss account, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2023 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of Directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

in accounting estimates and judgements such as share-based payment assumptions.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- Identifying revenue transactions to test based on unusual pairings with a credit or debit to revenue;
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 7, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

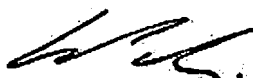
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants

East West,
Tollhouse Hill
Nottingham,
NG1 5FS

10 November 2023

Profit & loss account
for the year ended 31 March 2023

	Note	Year ended 31 March 2023 £000	Year ended 31 March 2022 £000
Revenue	2	75,178	61,462
Rechargeable expenses	2	(272)	(69)
Net fee income	2	74,906	61,393
Cost of sales	4	(45,304)	(35,038)
Gross profit		29,602	26,355
Administration expenses		(12,965)	(12,191)
Operating profit		16,637	14,164
Finance expense	6	(130)	(34)
Profit before taxation		16,507	14,130
Taxation	7	(1,820)	(3,352)
Profit for the financial year		14,687	10,778

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There was no other comprehensive income in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet

As at 31 March 2023

	Note	As at 31 March 2023 £000	As at 31 March 2022 £000
Non-current assets			
Property, plant and equipment	9	361	225
Right-of-use asset	10	1,937	511
Amounts owed by Group undertakings	11	5,173	3,162
Deferred tax asset	8	2,786	-
		<u>10,257</u>	<u>3,898</u>
Current assets			
Trade and other receivables	11	45,115	31,685
Cash and cash equivalents	12	2,735	6,204
		<u>47,850</u>	<u>37,889</u>
Current liabilities			
Trade and other payables	13	(43,163)	(32,511)
Lease liabilities	10	(1,348)	(241)
Corporation tax		(103)	(295)
		<u>(44,614)</u>	<u>(33,047)</u>
Net current assets		<u>3,236</u>	<u>4,842</u>
Total assets less current liabilities		<u>13,493</u>	<u>8,740</u>
Non-current liabilities			
Lease liabilities	10	(657)	(305)
Other non-current liabilities	14	(889)	(2,133)
Deferred tax liability	8	-	(36)
		<u>-</u>	<u>(2,474)</u>
Net assets		<u>11,947</u>	<u>6,266</u>
Capital and reserves			
Issued share capital	15	275	275
Other reserves		2,175	181
Retained earnings		9,497	5,810
Total Shareholders' equity		<u>11,947</u>	<u>6,266</u>

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 8 November 2023. They were signed on its behalf by:



Greg A Cook

Director

Company registered number: 04710715

**Statement of changes in equity
for the year ended 31 March 2023**

	Issued share capital £000	Other reserves £000	Retained earnings £000	Total Shareholders' equity £000
As at 1 April 2021	275	181	18,032	18,488
Total comprehensive income for the period				
Profit for the period	-	-	10,778	10,778
Transactions with owners				
Dividends	-	-	(23,000)	(23,000)
As at 31 March 2022	275	181	5,810	6,266
Total comprehensive income for the period				
Profit for the period	-	-	14,687	14,687
Transactions with owners				
Dividends	-	-	(11,000)	(11,000)
Current tax recognised in equity	-	722	-	722
Deferred tax recognised in equity	-	1,272	-	1,272
As at 31 March 2023	275	2,175	9,497	11,947

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting UK Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 04710715 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRS;
- Disclosures in respect of the compensation of key management personnel;
- Disclosures of transactions with a management entity that provides key management personnel services to the Company; and
- Disclosures of related party transactions.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made no judgements, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2023.

The Directors have identified the following areas as key estimates that are considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Share-based payments

As described in note 1.9 to these financial statements, the Company receives recharged expenses relating to a share option scheme operated by the Company's ultimate parent. In the calculation of these amounts at a Group level, management have estimated the share-based payments expense under IFRS 2. In determining the fair value of share-based payments, management has considered several internal and external factors in judging the

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.2 Significant judgements and estimates (continued)

probability that management and employee share incentives may vest and in assessing the fair value of share options at the date of grant. Such assumptions involve estimating a number of future performance and other factors. The fair value calculations have been externally assessed for reasonableness in the current and prior period.

The Company recognised a total expense of £3.3m (FY 22: £2.9m) in the current year, comprising £3.3m (FY 22: £2.0m) in relation to equity settled share-based payments, and a trivial credit to the statement of comprehensive income (FY 22: £0.9m) relating to relevant social security taxes. Given the estimation, were the future conditions for all outstanding share options assumed to be met at the end of the reporting period, the charge in the year would increase by £0.4m.

Assumptions associated with the calculation of the social security tax liability due on vesting of share options include an estimation of the forward-looking share price at the vesting date based on applicable analyst research and applicable future tax rates. For these purposes, share price is updated at each reporting period to reflect historic levels, and is assumed to grow in line with the estimated future performance of the business. If the estimated future share price growth assumption were to double, or remain flat, the social security costs in the year would not change significantly.

1.3 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, cash liquidity and existing borrowing facilities.

As at 31 March 2023, the Company had net current assets of £3.2m. The Company also has access, throughout the going concern period, to a revolving credit facility ("RCF") of £50.0m, through other Group companies, providing further liquidity.

The Company prepared cash flow forecasts covering the going concern period. The base case assumes trading performance over the forecast period in line with the Board-approved budget. The Directors considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales over the going concern period that would be required before all the available cash reserves are utilised. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires significant annualised revenue reductions compared to the base case, before modelling any mitigating actions, including cost reductions.

The Directors have considered the Company's recent trading, strong cash conversion, and new business pipeline, while also remaining cognisant of the potential ongoing macroeconomic uncertainty.

After careful consideration of these scenarios, the Directors have a reasonable expectation that the Company's existing resources are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Trade and other receivables

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade receivables balance recorded in the Company's statement of financial position comprises a relatively small number of high-value balances, which are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer-specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include: historical collection experience for each customer; the assessed liquidity of key customers within the receivables balance; and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2023, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

Trade and other payables

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Balances due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Property, plant and equipment

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years
Fixtures and fittings	3 - 4 years

Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

1.7 Leases

The Company leases office premises in various locations within the United Kingdom. Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed with break clauses and options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied, span anywhere from 13 months to 10 years. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and excluded from the recognition of the lease under IFRS 16.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Alongside the rental leases associated with the office spaces, Alpha also holds leases over associated office equipment. These form the population of leases subject to IFRS 16 accounting.

Measurement of lease liabilities

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate ("IBR"), unless the interest rate implicit to the lease is available for use.

Lease payments to be made subsequent to optional termination options have been included within the lease liability measurement, where it is reasonably certain that such options will be exercised.

Lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be easily determined, the IBR is applied, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions. In determining the IBR, the Group has made adjustments for relevant factors such as lease term, lease value, country and asset-specific considerations.

The Company accounts for lease payments by allocating them to a finance cost element and against the lease liability. The finance cost is charged to profit or loss over the lease period.

When the Company revises its estimate of the term of any lease (for example, if a significant change in circumstances within the Company's control indicates a reassessment is appropriate), the Company adjusts the carrying amount of the lease liability to reflect the payments to make over the revised term, which are discounted using a revised discount rate. In such cases, an equivalent adjustment is made to the carrying value of the right-of-use asset, with the revised carrying amount being amortised over the remaining (revised) lease term. If the carrying amount of the right-of-use asset is adjusted to zero, any further reduction is recognised in profit or loss.

The Company has no material exposure to variable lease payments that qualify for accounting treatment under IFRS 16.

Measurement of right-of-use assets

The right-of-use asset for lease agreements is measured on initial recognition as the amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.7 Leases (continued)

Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as "short-term leases", and those with a low value as "low-value leases". Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company also applies the practical expedient to combine leases with similar characteristics to a portfolio of leases for the purpose of applying the requirements of IFRS 16.

See note 10 for further details on the Company's leasing arrangements.

1.8 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit ("CGU") exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Right-of-use assets are accounted for in line with section 1.7 above.

1.9 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non-market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the statement of profit or loss, with a corresponding adjustment to the amounts owed to Group undertakings. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.9 Employee Benefits (continued)

The fair value calculations in both the current and prior years have been externally assessed as reasonable in the circumstances.

After vesting, the Company's ultimate parent satisfies share option exercises either through the issuance of new ordinary shares, or through the transfer of existing shares held in the Company's EBT to the employee. Any share options not exercised upon vesting remain outstanding until the end of the contracted exercise period.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options. The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Amounts relating to employees who provide services directly to the Company are recorded within the profit and loss account in the form of a management recharge.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting plc shares. The Company has two distinct schemes, the 'Management Incentive Plan' ("MIP") and the 'Employee Incentive Plan' ("EIP"). These are described below.

The Management Incentive Plan

The Company has a management incentive plan to retain and incentivise directors and senior management. The MIP consists of four parts: part A of which will enable the granting of enterprise management incentive and non-tax advantaged options to acquire shares; part B of which will enable the awarding of JSOPs; part C of which will enable the awarding of restricted stock units ("RSUs") for participants in the US; and part D of which will enable the awarding of RSUs in France (together the "options").

In prior periods, the majority of options granted to certain directors and senior management of the Company were subject to the fulfilment of three or more of the following performance conditions: (a) the Group achieving adjusted EPS growth of 15.0% or more to trigger a maximum award, or 10.0% to trigger a 66% award, with a linear application of awards between these levels; (b) the Group achieving a TSR over three years in excess of the mean total shareholder return ("TSR") delivered by a peer group of comparable companies; (c) personal adherence to corporate values and risk policy; and (d) specific business unit EBITDA, or other personal targets and goals. In FY 21, in response to COVID-19, options granted were subject to more flexible performance criteria, including local budget targets and a variety of stretching personal sales or other targets. In FY 22, the performance conditions of options granted in that year returned to the previous award criteria.

As disclosed last year, the Group's Remuneration Committee approved performance conditions for FY 23 awards, which further modified the adjusted EPS growth range set out above to reflect the growth of the Group since AIM admission. The criteria for these share incentive awards to certain directors and senior management of the Company, depending on the individual and their role, include: (a) the Group achieving adjusted EPS growth of 11.25% or more to trigger a maximum award, or 7.5% to trigger a 66% award, with a linear application of awards between these levels; (b) personal adherence to corporate values and risk policy; and (c) specific business unit EBITDA, or other personal targets and goals.

Some of these share incentive awards also contain a market condition requiring the Company to achieve a TSR over three years in excess of the mean TSR delivered by a peer group of comparable companies.

MIP awards have either nominal or minimal exercise price payable in order to acquire shares pursuant to options. MIP awards have either three- or four-year vesting periods from the date of grant and can be equity settled only.

The Employee Incentive Plan

Under the EIP, a broad base of the Group's employees has been granted share options or share awards over a small number of shares. The EIP is structured as is most appropriate under the local tax, legal and regulatory rules in the key jurisdictions and therefore varies between those jurisdictions. No EIP awards were made in the current or prior years.

Further disclosure of these schemes is provided within the Group's consolidated 2023 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.10 Revenue recognition

Recognition of revenue and client billing

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income represents the Group's personnel, subcontractor and related expertise and services sold to clients. Recharged expenses are the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Group.

The Company delivers services that have no alternative use to the Company (advice to clients, reports, etc.) as the services are specifically tailored to clients' projects and scope of work. The significant majority of the Group's revenue is contracted on a time and materials basis, where the performance obligation is to provide consultancy resources at agreed day rates. For such contracts, revenue is recognised over time, as consultant days worked are delivered. Modifications or extensions to such projects are recognised as services are delivered. Significant extensions, where the scope or price of the contract increases, are treated as separate contracts. Contracts accounted for on a time and materials basis are billed incrementally, typically monthly, for incurred time and materials.

Revenue recognition for fixed-fee projects is based on the satisfaction of performance obligations in line with contractual project milestones, depending on the nature of the performance obligations for the project. Material scope changes are managed via a new agreement with the client. Fixed-fee projects are typically billed in accordance with the nature of the performance obligations when a right to payment crystallises.

For most fixed-fee milestone projects, revenue is recognised at a point in time upon delivery of each performance obligation and these projects are typically billed as contractual milestones are delivered and the right to payment exists. Contractual milestones are only treated as separate performance obligations by the Group when they are distinct from the other elements in the contract and could provide a benefit to the customer without further work being completed. In limited circumstances, revenue from fixed-fee milestone projects is recognised over time where the Group has an enforceable right to payment for performance completed to date, before the contractual milestone has been fully delivered.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

Recognition of contract receivables

Activity performance recognised as revenue in excess of invoices raised results in the recognition of a contract receivable, which is included within accrued income, up to the value of the relevant project delivery milestone, where applicable.

Recognition of contract liabilities

Where amounts have been invoiced in excess of work performed and revenue recognised, the excess is a contract liability and is included within deferred income, valued in line with the nature of the project and related performance obligations as described above and recognised in future periods.

1.11 Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs, subsistence and travel that are directly attributable to the delivery of services and supporting growth.

Rechargeable expenses, including travel and subsistence directly recharged to the Company's clients as part of revenue generation, are presented within the "rechargeable expenses" line within the Company's statement of comprehensive income.

Capitalised contract fulfilment costs

Costs directly attributable to the fulfilment of unsatisfied or partially unsatisfied performance obligations on customer contracts are recognised as an asset where these costs generate or enhance resources of the Group and the costs are expected to be recovered. These costs principally relate to partially completed milestones on fixed-fee contracts. These costs are recognised in the consolidated income statement at the point of revenue recognition.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.12 Administration expenses

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit and loss account.

1.13 Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

1.14 Dividends payable

Dividends payable are recognised in the statement of changes in equity on the date the entity's obligation to pay the dividend is established.

1.15 Taxation

Taxation expense on the result for the year comprises current and deferred tax. Current and deferred tax is recognised in the profit & loss account, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.16 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2023. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- Reference to the Conceptual Framework (Amendments to IFRS 3), effective from 1 January 2022;
- Property, Plant and Equipment – Proceeds before Intended Use (Amendments to IAS 16), effective from 1 January 2022;
- Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37), effective from 1 January 2022; and
- Annual Improvements to IFRS Standards 2018-20 Cycle, effective from 1 January 2022.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2023.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

Notes to the financial statements (continued)

2 Revenue

	FY 23 £000	FY 22 £000
Rendering of services	74,906	61,393
Rechargeable expenses	272	69
Revenue	75,178	61,462
	FY 23 £000	FY 22 £000
<i>By activity</i>		
Management consulting	75,178	61,462

3 Auditor's remuneration

	FY 23 £000	FY 22 £000
Audit of these financial statements	109	87

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 23	FY 22
Administrative	8	8
Sales	225	174
Average number of employees in the year	233	182

The aggregate payroll costs of these persons were as follows:

	FY 23 £000	FY 22 £000
Wages, salaries and short-term benefits	29,763	25,518
Social security costs	3,228	2,465
Contributions to defined contribution plans	886	705
Total staff costs for the year	33,877	28,688

Notes to the financial statements (continued)

4 Staff numbers and costs (continued)

At the year end, 4,521,331 (FY 22: 4,579,945) share options over the equity in Alpha Financial Markets Consulting plc, the parent company, remained outstanding to the Company's management and employees. The weighted average remaining contractual period to vest for outstanding share options is one year. All share options outstanding at the year end date have a nominal exercise price. During the year 1,127,488 share options vested (FY 22: 70,893), of which 907,814 were exercised during the year. A further 67,819 share options were exercised in the year relating to awards that vested in the comparative period. The weighted average share price at the date of these exercises was £4.41. The Company has incurred a charge to the profit & loss account in FY 23 of £3,342,455 (FY 22: £2,881,364) relating to these schemes under IFRS 2 for employees and management that provide direct services to the Company of which a trivial amount relates to associated social security taxes in the current year.

5 Directors' remuneration

	FY 23 £000	FY 22 £000
Directors' remuneration	626	566
Gain on share option exercises	871	-
Company contributions to money purchase pension plan	6	-

During the year ended 31 March 2023, two directors providing material qualifying services exercised share options.

	Number of Directors	
	FY 23	FY 22
Benefits are accruing to the following number of Directors under:		
Money purchase schemes (retirement benefits)	1	-
Long term share incentive plan	2	1

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid director was £1,284,000 (FY 22: £566,000), of which £824,000 relates to gains made on the exercise of share options (FY 22: £nil). The value of the company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £nil (FY22: £nil).

Amounts paid or payable to certain of the Company's Directors through other Group companies have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to other Group companies.

6 Finance expense

	FY 23 £000	FY 22 £000
Finance expense	130	34
Total finance expense	130	34

Notes to the financial statements (continued)

7 Taxation

	FY 23		FY 22	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		3,701		2,743
Payment for group relief		-		487
Adjustments in respect of prior periods		(331)		99
Total current tax		3,370		3,329
<i>Deferred tax (see note 8)</i>				
Origination and reversal of timing differences	(800)		13	
Effect of tax rate change on opening balances	-		6	
Adjustments in respect of prior periods	(750)		4	
Total deferred tax		(1,550)		23
Total tax expense for the year		1,820		3,352

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the prior year on 24 May 2021. In FY 24, this change will increase the Company's current tax charge accordingly.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 23	FY 22
	£000	£000
Profit before taxation	16,507	14,130
Tax using the UK corporation tax rate of 19% (FY 22: 19%)	3,136	2,685
Reduction in tax rate on deferred tax balances	-	9
Non-deductible expenses	36	571
Differences in respect of share options	(254)	-
Fixed asset differences	(17)	(16)
Group relief claimed	-	(487)
Payment for group relief	-	487
Adjustments in respect of prior periods	(1,081)	103
Total tax expense for the year	1,820	3,352

Adjustments in respect of prior periods comprise £0.3m in relation to current tax and £0.8m relating to deferred tax, which primarily relates to tax on share options. Please refer to note 8 for further details on the deferred tax charge in the year.

Notes to the financial statements (continued)

8 Deferred tax

As at 31 March 2023

	1 April 2022	Recognised in income	Recognised in equity	31 March 2023
	£'000	£'000	£'000	£'000
Accelerated capital allowances	(51)	(39)	-	(90)
Short-term timing differences	15	35	-	50
Share options	-	1,554	1,272	2,826
Net deferred tax (liability) / asset	(36)	1,550	1,272	2,786

As at 31 March 2022

	1 April 2021	Recognised in income	Recognised in equity	31 March 2022
	£'000	£'000	£'000	£'000
Accelerated capital allowances	(24)	(27)	-	(51)
Short-term timing differences	10	5	-	15
Net deferred tax liability	(14)	(22)	-	(36)

The Company has no unrecognised tax losses in addition to the deferred tax assets above (FY 22: £nil). An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the prior year on 24 May 2021. In FY 24, this change will increase the Company's current tax charge accordingly. This rate has been reflected in the calculation of deferred tax assets and liabilities as at 31 March 2023.

The increase in the deferred tax asset during the year relates to a reallocation of the Group's deferred tax asset in relation to share options from the ultimate parent company, Alpha Financial Markets Consulting plc, to the Company. The portion of the deferred tax asset that relates to employees of the Company should previously have been recognised in the Company's accounts, given it will benefit from a tax deduction available upon exercise, rather than in the ultimate parent company's accounts. Therefore, the Directors have determined that a reallocation of the opening deferred tax asset to the Company is required. The impact of this opening balance reallocation has resulted in a £0.8m deferred tax asset recognised in the profit and loss account, and a £0.9m deferred tax asset recognised through equity. The Directors do not consider this reallocation to be material to the user's understanding of the prior period financial statements and therefore have not restated the prior period. During the year, the deferred tax asset in relation to share options has increased, with an additional £0.8m recognised in the profit and loss account and an additional £0.4m recognised in equity.

Notes to the financial statements (continued)

9 Property, plant and equipment

	Leasehold improvements £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
Cost				
Balance at 1 April 2022	202	925	129	1,256
Additions	-	270	33	303
Disposals	-	(32)	(4)	(36)
Balance at 31 March 2023	202	1,163	158	1,523
Depreciation and impairment				
Balance at 1 April 2022	(202)	(703)	(126)	(1,031)
Depreciation charge for the year	-	(144)	(5)	(149)
Disposals	-	14	4	18
Balance at 31 March 2023	(202)	(833)	(127)	(1,162)
Net book value				
Balance at 31 March 2023	-	330	31	361
Balance at 1 April 2022	-	222	3	225

10 Leases

(i) Amounts recognised in the statement of financial position

The balance sheet shows the following amounts relating to leases:

Right-of-use assets	Buildings £000	Equipment under lease £000	Total £000
Cost			
As at 1 April 2022	1,195	17	1,212
Additions	1,748	-	1,748
Disposals and other movements	-	-	-
As at 31 March 2023	2,943	17	2,960
Depreciation			
As at 1 April 2022	(687)	(14)	(701)
Charge for the period	(319)	(3)	(322)
Disposals	-	-	-
As at 31 March 2023	(1,006)	(17)	(1,023)
Net book value as at 31 March 2023	1,937	-	1,937
Net book value as at 1 April 2022	508	3	511

During the year, the Company entered into a new primary office lease in the UK, resulting in additions of £1.7m to right-of-use assets.

Notes to the financial statements (continued)

10 Leases (continued)

A summary of the Company's lease liabilities as at 31 March 2023 is presented below:

	FY 23 £000	FY 22 £000
Due within one year	1,464	263
Due between one and five years	681	318
Due after one year	-	-
Total lease liabilities - undiscounted	2,145	581
Impact of discounting	(140)	(35)
Total lease liabilities - discounted	2,005	546

(iii) Amounts recognised in the income statement

The income statement shows the following amounts relating to leases:

	FY 23 £000	FY 22 £000
Depreciation of right-of-use asset	(321)	(234)
Short-term lease expense	(364)	-
Low-value lease expense	-	-
Variable service charges	(29)	(59)
Included in administration expenses	(714)	(293)
Interest expense on lease liabilities	(86)	(34)
Included in finance expenses	(86)	(34)

Total rental payments made in the year on all lease tenors amounted to £0.7m (FY 22: £0.3m).

Variable service charge costs associated with the Company's property leases representing potential future outflows relating to the lease arrangements are not included within the IFRS 16 lease liability.

The Company has given consideration to any extension options and early termination options with reasonable certainty at the date of signing these financial statements, and these have been reflected within the lease liability where appropriate.

The Company had no income associated with sub-leasing arrangements, or gains/losses associated with sale-and-leaseback transactions in the year ended 31 March 2023.

11 Trade and other receivables

	FY 23 £000	FY 22 £000
Trade receivables	7,831	7,117
Amounts owed by Group undertakings	33,482	23,185
Other receivables	448	23
Capitalised contract fulfilment costs	325	389
Prepayments and accrued income	3,029	971
Total amounts due within one year	45,115	31,685

Trade receivables are stated after provisions for impairment and expected credit losses of £234,000 (FY 22: £161,000).

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings were immaterial in both the current and prior year.

Notes to the financial statements (continued)

11 Trade and other receivables (continued)

Contract receivables are recognised in accrued income and relate to satisfied performance obligations recognised and not invoiced at the year end. All such contract receivables are expected to be realised within one year and are classified within current assets. Contract receivables are recorded on a time spent basis and as performance obligations are met on agreed fees and day rates, billed in arrears. These are typically short-term timing differences which are administrative in nature at each year end date. Contract receivable payments are due on standard terms once the invoices are raised. The contract receivables movement in the year represents these timing differences across contracts at each year end.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £38,655,000 (FY 22: £26,347,000) of amounts owed by Group undertakings, the Company recognised £5,173,000 (FY 22: £3,162,000) within non-current assets and £33,482,000 (FY 22: £23,185,000) within current assets.

12 Cash and cash equivalents

	FY 23 £000	FY 22 £000
Cash at bank	2,735	6,204
Cash and cash equivalents	2,735	6,204

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

13 Trade and other payables

	FY 23 £000	FY 22 £000
Trade payables	1,792	1,565
Amounts owed to Group undertakings	29,935	20,673
Taxation and social security	2,578	2,105
Social security tax on share options	493	608
Accruals and deferred income	8,365	7,560
Total amounts owed within one year	43,163	32,511

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on short-term timing differences between performance obligations in some milestone or fixed fee contracts and their respective contracted payment schedules. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period. All current deferred income is expected to be recognised through revenue within one year.

There are no material unperformed performance obligations relating to contracts in excess of one year at 31 March 2023 (FY 22: £nil).

Notes to the financial statements (continued)

14 Other non-current liabilities

	FY 23 £000	FY 22 £000
Other non-current liabilities	275	1,314
Social security tax on share options	614	819
Total other non-current liabilities	889	2,133

Amounts classified within other non-current liabilities have decreased in the year as the remaining deferred element of the FY 22 bonuses for certain directors and senior management now falls within 12 months from the reporting date, partially offset by FY 23 bonuses awarded in the year, payable in summer 2024.

15 Capital and reserves

Share capital

	FY 23 £000	FY 22 £000
Allotted, called up and fully paid		
275,000 ordinary shares of £1 each	275	275
Balance at the end of the year	275	275

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

During the year, an ordinary dividend payment totalling £11,000,000 was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited (FY 22: £23,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 22: £nil).

16 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

17 Ultimate parent company

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, or the website investors.alphafmc.com.